

CHAPTER 3

Asset Allocation Explained

KEY CONCEPTS

- Diversification reduces the chance of a large loss.
- Rebalancing assets in a portfolio helps contain risk.
- Correlations between asset classes are not static.
- Low correlation among asset classes is preferred but difficult to indentify.

Diversification is the time-honored practice of spreading financial risk across different investments to reduce the probability of a large loss. A portfolio of 1,000 stocks is more diversified than a portfolio of 100 stocks. Asset allocation is a type of diversification that spreads the risk widely over different markets. It involves estimating the expected risk and return on various segments of the financial markets, observing how those markets interrelate over different time periods, and then logically and methodically constructing a portfolio of investments that represents those chosen asset classes in ways that have the highest probability of achieving a financial goal.

ASSET ALLOCATION: A SHORT HISTORY

In 1952, a 25-year-old graduate student from the University of Chicago named Harry Markowitz wrote a revolutionary research paper titled “Portfolio Selection.” That 14-page paper would eventually change the way colleges and universities teach portfolio management. It would also change the methods used by investment professionals to manage portfolios.

Markowitz’s paper explored the idea that financial risk is not only necessary but desirable in portfolio management in order to achieve a higher rate of return. He also noted that portfolio risk can be controlled through meaningful investment diversification. Markowitz pointed out that the risk of each individual investment is not as important as how all the investments work together to reduce overall portfolio risk. He used